

FileZilla which can connect to an instance and provide a File Explorer-like interface to exchange files between your local machine and an EC2 instance.

1.4 Instance purchasing options

Now that you know about launching EC2 instances, this section introduces the pricing and purchasing aspect of the EC2 instances. Prices of EC2 instances are directly dependent on the compute, memory and I/O. Higher you go above after three parameters, higher you need to pay. But there are multiple purchasing options available in AWS which could drastically optimise the cost you actually pay by simply selecting the suitable purchasing option for your needs. We are not going to go in details but we'll explore some commonly available options. They are:

1. **On demand instances** : Pay as per you use. You get charged for the number of instance hours you used the instance for. When you launch an instance without any purchasing option, it gets launched in this category. This is the default choice for launching an instance.
2. **Reserved instances** : If you purchase reserved instances, Amazon offers a significant discount on the actual price of the instances. The plans are available for one or three years. So, if you are launching some instances and plan to use it for a very long period of time, you can go for this plan.
3. **Spot instances** : Spot instances are available at a very low price (specific to availability zone) as compared to On Demand and Reserved instances. The reason for their low price is that Amazon identifies the free instances in a particular availability zone and puts them into a common pool and assigns a price to that instance. The price changes as per the demand of the instance. You can place a bid for a spot instance (usually lower than on-demand price) and if the bid is higher than the current Spot Price of the instance, the instance will be launched. The instance will keep on running till the Spot Price remains lower than the bid price put by you. Once the Spot price exceeds the bid price, you will get a two minutes notice and the instance will terminate automatically. These are not the best choice but can be used for running some very low priority logs like log processing etc.
4. **Dedicated host** : A dedicated host is a physical server with an EC2 instance capacity, fully dedicated for your use. This is an expensive option but if your data is very confidential that you can't take a risk of running an instance on a shared machine, this is a best choice for you.